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What Is Large Corporate Funding ?

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A Definitive White Paper & Architectural Guide to Wholesale Credit Products, RBI Large Exposure Framework (LEF), Capital Structuring, Debt Syndication & Credit Risk Management in the Indian BFSI Market

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Designed for Finance Professionals, Corporate Treasurers, Investment Bankers & Credit Risk Underwriters

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Executive Summary & Document Blueprint

Large Corporate Funding represents the apex of wholesale banking and private debt markets in India. Defined as debt facilities extended to large corporate conglomerates, infrastructure developers, and blue-chip industrial enterprises with annual turnovers exceeding INR 500 Crores or credit exposures above INR 100 Crores, this asset class bridges the gap between traditional commercial banking, bond capital markets, and private credit funds.

This white paper serves as an exhaustive, self-contained master class designed to equip finance rookies, credit underwriters, corporate treasurers, and banking executives with a complete understanding of Large Corporate Funding in India. Reading this document alone provides all necessary theoretical depth, regulatory insights, transactional mechanics, and analytical frameworks required to evaluate, structure, and execute large corporate debt deals.

Document Structure & Blueprint

- Chapter 1: Product Overview & Core Fundamentals
- Chapter 2: Product Architecture & Banking Mechanics (LEF Rules, Syndication, Consortium, LEI)
- Chapter 3: Eligibility Criteria & Credit Underwriting Parameters
- Chapter 4: Security Package, Collateral Architecture & Documentation Suite
- Chapter 5: Indicative Tenures, Pricing Structure & Benchmark Rates
- Chapter 6: Suitable Industries, Business Profiles & Use Cases
- Chapter 7: Key Advantages & Structural Limitations
- Chapter 8: Comprehensive Case Study — INR 1,200 Crore Large Corporate Debt Facility
- Chapter 9: Regulatory Framework, RBI Guidelines & IBC Integration
- Chapter 10: Rookie Mastery Examination (15 High-Yield Test Q&As with Detailed Answers)

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Chapter 1: Product Overview & Core Fundamentals

1.1 Defining Large Corporate Funding

Large Corporate Funding (LCF) refers to customized, multi-product wholesale credit architectures extended by commercial banks, non-banking financial companies (NBFCs), specialized financial institutions (SFIs), and private credit funds to large corporate borrowers. Unlike retail, MSME, or mid-market lending where standardized, formulaic underwriting applies, Large Corporate Funding is characterized by high transaction quantum (ranging from INR 100 Crores to over INR 10,000 Crores), bespoke facility structuring, complex legal covenants, and multi-lender syndication architectures.

Regulatory & Commercial Scope: In the Indian Banking, Financial Services, and Insurance (BFSI) domain, a company qualifies as a 'Large Corporate' based on two distinct regulatory and commercial criteria:

1. Revenue Scale: Annual turnover exceeding INR 500 Crores (with conglomerates often exceeding INR 5,000 Crores).
2. Aggregate Credit Exposure: Total banking debt facilities exceeding INR 100 Crores across fund-based and non-fund-based limits.

1.2 Spectrum of Large Corporate Credit Products

Large Corporate Funding is not a single loan product; rather, it represents a comprehensive umbrella of financial instruments tailored to meet diverse operational, capital expenditure, and transactional requirements. These credit products are fundamentally divided into Fund-Based Limits and Non-Fund-Based Limits:

Product Category	Specific Financial Instruments	Core Purpose & Function
Fund-Based Working Capital	Cash Credit (CC), Working Capital Demand Loan (WCDL), Bill Discounting, Packing Credit	Financing day-to-day operational liquidity, inventory, receivables, and raw material procurement.
Fund-Based Capital Debt	Rupee Term Loans (RTL), Foreign Currency Non-Resident (FCNR) Loans, Corporate Term Loans	Funding greenfield/brownfield capex, plant modernization, capacity expansion, and strategic acquisitions.
Non-Fund-Based Facilities	Inland & Foreign Letters of Credit (LC), Bank Guarantees (Financial & Performance BGs)	Credit enhancement, trade settlement, bid-bond assurance, and performance obligations without upfront cash outlay.

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Capital Market Instruments	Commercial Paper (CP), Non-Convertible Debentures (NCDs), Rupee Denominated Bonds (Masala Bonds)	Disintermediating bank credit to access institutional investors (mutual funds, insurance funds, PF trusts) at competitive market yields.
External & Hybrid Credit	External Commercial Borrowings (ECB), Structured Mezzanine Debt, Trade Credit	Accessing global liquidity pools in USD/EUR/JPY or bridging equity-debt capital stacks.

1.3 Historical Evolution of Large Corporate Lending in India

The evolution of Large Corporate Funding in India reflects the transition of the Indian economy from a heavily regulated, state-directed banking model to a market-driven, globally integrated financial ecosystem:

• Pre-1991 Era (Tandon & Chore Committee Norms): Characterized by strict inventory and receivable holding norms, mandatory Consortium Lending arrangements, and heavy reliance on Cash Credit limits with rigid administrative ceilings.
• Post-1991 Deregulation (Narasimham Committee): Withdrawal of mandatory consortium mandates in 1996, allowing corporates freedom to choose Multiple Banking Arrangements (MBA) or Voluntary Syndication. Introduction of prime lending rates (PLR) and credit risk rating systems.
• Modern Reforms (2016–2026): Enactment of the Insolvency and Bankruptcy Code (IBC) 2016, implementation of the RBI Large Exposure Framework (LEF), introduction of mandatory Legal Entity Identifier (LEI) tracking, and the dramatic expansion of Private Credit Funds (Category II AIFs) alongside debt capital markets.

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Chapter 2: Product Architecture & Banking Mechanics

2.1 Delivery Architectures: Sole, Multiple, Consortium & Syndication

When a large corporation requires credit facilities running into hundreds or thousands of crores, a single bank is rarely able or willing to absorb the entire credit exposure due to internal borrower limits and regulatory exposure caps. Consequently, credit is delivered through four primary banking architectures:

Sole Banking Architecture: 1. Sole Banking: A single bank provides the entire credit facility. This is restricted to top-tier AAA rated corporates or smaller large-corporate facilities (e.g., INR 100 Cr to INR 250 Cr).

Multiple Banking Architecture: 2. Multiple Banking Arrangement (MBA): The corporate enters into separate, independent bilateral loan agreements with multiple banks. Each bank holds separate security over specific assets or designated receivables. While flexible for the borrower, MBA creates information asymmetry and credit monitoring challenges among lenders.

Consortium Funding Architecture: 3. Consortium Funding: Two or more banks pool resources under a single, unified Working Capital Consortium Agreement (WCCA) and Inter-Se Agreement. Led by a designated 'Lead Bank' (usually holding the largest share), credit appraisal, stock audits, security creation, and drawing power (DP) calculations are centralized and shared on a pari-passu basis.

Loan Syndication Architecture: 4. Loan Syndication: A globally standardized wholesale lending structure where a Mandated Lead Arranger (MLA) arranges, underwrites, and syndicates a large facility across a syndicate of banks under a single, comprehensive Loan Agreement and Security Trust Deed executed by a Security Trustee.

2.2 RBI Large Exposure Framework (LEF) & Prudential Norms

To prevent systemic risk and concentration of credit in individual corporate entities or business groups, the Reserve Bank of India (RBI) enforces the Large Exposure Framework (LEF), aligned with Basel III principles:

• Single Counterparty Exposure Limit: A bank's sum of all exposure values (fund-based and non-fund-based) to a single counterparty cannot exceed 20% of the bank's Tier 1 Available Capital. (Under exceptional board-approved circumstances, an additional 5% exposure is permitted, capping maximum exposure at 25%).
• Group of Connected Counterparties Limit: A bank's aggregate exposure to a group of connected corporate entities cannot exceed 25% of the bank's Tier 1 Available Capital.
• Specified Borrower Framework: Large corporates having aggregate fund-based credit limits above INR 10,000 Crores from the banking system are subject to higher risk-weights if they do not raise a minimum percentage (typically 25%) of their incremental long-term debt through corporate bonds.

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2.3 Legal Entity Identifier (LEI) & Systemic Tracking

The Reserve Bank of India mandates the Legal Entity Identifier (LEI)—a 20-digit globally unique code—for all corporate entities operating in India. Banks are strictly prohibited from renewing or sanctioning credit facilities to corporate entities with aggregate exposure of INR 5 Crores and above without a valid, active LEI code. LEI ensures transparent identification of ultimate parent entities, subsidiaries, and corporate cross-holdings across global credit databases.

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Chapter 3: Common Eligibility Criteria & Underwriting Parameters

3.1 Quantitative & Financial Eligibility Benchmarks

Underwriting a Large Corporate Funding proposal involves a rigorous evaluation of the borrower's historical financial performance, balance sheet strength, cash flow stability, and projected debt servicing capabilities. The table below outlines standard eligibility parameters required by Indian banks and institutions:

Underwriting Parameter	Standard Benchmark / Threshold	Analytical Significance & Impact
External Credit Rating	BBB- minimum; typically A / AA / AAA for competitive pricing	Determines bank risk-weights under Basel III and minimum pricing spreads over benchmark rates.
Annual Turnover	INR 500 Crores+ for Large Corporate Desk; INR 1,000 Cr+ for top-tier pricing	Establishes business scale, market dominance, and operational maturity.
Debt-Equity Ratio (DER)	Maximum 1.5:1 to 2.5:1 (Capital Intensive sectors like Infra allowed up to 3.5:1)	Measures solvency and promoter capital commitment relative to external debt.
DSCR (Debt Service Coverage Ratio)	Minimum 1.25x to 1.50x across loan tenure	Ensures operating cash flows (EBITDA - Taxes) comfortably cover interest and principal repayments.
Interest Coverage Ratio (ICR)	Minimum 2.0x to 3.0x	Measures earnings buffer (EBIT / Interest Expense) against rate hikes or margin contraction.
Current Ratio	Minimum 1.20:1 to 1.33:1	Validates liquidity adequacy to meet short-term obligations from current assets.
Promoter Skin-in-the-Game	Minimum 20% to 30% unencumbered promoter equity holding	Ensures alignment of interest and prevents asset-stripping or promoter flight.

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3.2 Qualitative & ESG Underwriting Criteria

Beyond financial ratios, modern large corporate underwriting incorporates extensive qualitative and Environmental, Social, and Governance (ESG) assessments:

• Management Evaluation & Corporate Governance: Assessment of board composition, presence of independent directors, promoter integrity, credit bureau history (CIBIL Commercial / CRILC records), and absence of Wilful Defaulter or Non-Cooperative Borrower classifications.
• Market Position & Competitive Moat: Evaluation of market share, pricing power, order book visibility, technological edge, and diversification of customer/supplier bases.
• ESG Compliance & Sustainability Framework: Large corporate borrowers are evaluated on Business Responsibility and Sustainability Reporting (BRSR) guidelines mandated by SEBI, carbon footprint compliance, effluent treatment standards, and labor safety records.

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Chapter 4: Security Package, Collateral Architecture & Documentation Suite

4.1 Security & Collateral Hierarchy

Large corporate credit facilities feature sophisticated, multi-layered security structures designed to protect lenders in stress scenarios while providing operational flexibility to the borrower:

Primary Charge Architecture: 1. Primary Charge: First Pari-Passu charge by way of hypothecation over current assets (inventory, raw materials, work-in-progress, finished goods, and trade receivables) for Working Capital facilities; or first mortgage over fixed assets (land, buildings, plant & machinery) for Rupee Term Loans.

Secondary / Cross-Collateral Charge: 2. Collateral / Secondary Charge: Second charge over fixed assets for working capital lenders, or second charge over current assets for term lenders, creating a cross-collateralized security mesh.

Credit Enhancement & Guarantees: 3. Credit Enhancement & Guarantees: Irrevocable, unconditional Corporate Guarantees from parent/holding companies, Personal Guarantees of promoter-directors, Debt Service Reserve Account (DSRA) covering 1 to 2 quarters of debt servicing, and pledge of unencumbered promoter shares (demat form).

Escrow & Cash Waterfall Mechanics: 4. Escrow & TRA Mechanism: Establishment of a Trust and Retention Account (TRA) or Escrow Mechanism, where all project/business cash flows are routed through a designated escrow bank and disbursed strictly according to a predefined payment waterfall.

4.2 Legal & Documentation Suite

Executing a Large Corporate Funding transaction requires a comprehensive, standardized legal documentation suite governed by Indian law:

• Facility Agreement / Term Loan Agreement: Master contract stipulating loan terms, disbursement conditions precedent (CPs), repayment schedules, representation and warranties, and affirmative/negative covenants.
• Intercreditor Agreement (ICA): Executed among all participating lenders defining voting rights, consensus thresholds (e.g., 66% by value and 60% by number under RBI stress resolution frameworks), enforcement procedures, and pro-rata sharing of cash recoveries.
• Security Trustee Agreement & Deed of Hypothecation: Appointing a SEBI-registered Security Trustee to hold charges over movable/immovable assets on behalf of multiple lenders.
• Escrow & TRA Agreement: Four-party agreement among Borrower, Lenders, Security Trustee, and Escrow Bank regulating account operations.
• CERSAI, ROC & NeSL Perfection: Filing Form CHG-1 with the Registrar of Companies (ROC) within 30 days, registering charges on the CERSAI portal, and submitting debt details to National E-Governance Services Limited (NeSL) Information Utility.

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Chapter 5: Indicative Tenures, Pricing Structure & Benchmark Rates

5.1 Facility Tenures & Amortization Profiles

Tenures for Large Corporate Funding vary significantly depending on product classification and cash-flow generation profiles:

• Working Capital Limits (CC/WCDL/LC/BG): 12-month revolving facilities subject to annual review, stock audit, and sanction renewal.
• Commercial Paper (CP): Short-term money market instrument with tenures ranging from 7 days to 365 days (typically 90 to 180 days).
• Rupee Term Loans (RTL) / Corporate Debt: Long-term facilities spanning 5 years to 15 years (and up to 20–25 years for infrastructure project financing like highways and power plants), structured with a 1 to 3-year moratorium during construction/ramp-up.

5.2 Pricing Mechanics & Benchmark Interest Rates

The pricing of Large Corporate Funding is structured on a floating or fixed rate basis tied to transparent financial benchmarks:

• Benchmark Rates: Linked to RBI Policy Repo Rate, Marginal Cost of Funds Based Lending Rate (MCLR), 3-Month / 6-Month T-Bill rates, or SOFR (Secured Overnight Financing Rate) for foreign currency loans.
• Credit Risk Spread: Added to the benchmark rate, ranging from 50 bps (0.50%) for AAA-rated blue-chip corporates to 350 bps (3.50%) for BBB- rated enterprises.
• All-In-Cost (AIC): Total effective cost including upfront processing fees (0.25% to 1.00%), commitment fees on undisbursed limits (0.10% to 0.50%), security trustee charges, and legal/valuation fees.

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Chapter 6: Suitable Industries, Business Profiles & Use Cases

6.1 Sectoral Suitability & Industry Profiles

Large Corporate Funding is designed for capital-intensive, high-volume sectors that drive macro-economic growth in India:

1. Infrastructure & Energy: Highways (NHAI Hybrid Annuity Model - HAM), Solar/Wind Renewable Power, Transmission Networks, Ports, and Airports requiring long-term project debt.
2. Heavy Manufacturing & Metals: Steel plants, Cement manufacturing, Automotive OEMs, and Heavy Engineering complexes requiring mega capital expenditure and extensive working capital lines.
3. Pharmaceuticals & Chemicals: Large-scale API manufacturing, global clinical trials, and overseas facility acquisitions funded through Rupee and Foreign Currency debt.
4. Telecommunications & Technology: 5G network rollout, data center development, and cross-border digital infrastructure expansion.
5. Conglomerates & Holding Companies: Strategic M&A acquisition financing, promoter share buybacks, and refinancing existing debt stacks.

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Chapter 7: Key Advantages & Structural Limitations

7.1 Strategic Advantages

Large Corporate Funding provides compelling benefits to corporate borrowers and the banking ecosystem:

• Massive Capital Mobilization: Enables corporate entities to execute multi-billion dollar capex projects and cross-border acquisitions that would be impossible through internal accruals alone.
• Lower Effective Cost of Borrowing: Top-tier corporations leverage strong credit ratings and competitive banking bidding to secure interest rates significantly lower than MSME or retail debt.
• Disintermediation & Flexible Mix: Ability to seamlessly blend bank loans, commercial paper, non-convertible debentures, and foreign ECB debt to optimize overall weighted average cost of capital (WACC).
• Tax Efficiency: Interest payments on business debt are fully tax-deductible expenses under Section 36(1)(iii) of the Income Tax Act 1961, reducing effective net interest burden.

7.2 Structural Limitations & Operational Risks

Despite its advantages, Large Corporate Funding entails inherent structural and systemic risks:

• Systemic & Concentration Risk: Single large corporate defaults can severely impact lender balance sheets and trigger systemic non-performing asset (NPA) shocks across the banking sector.
• Complex Inter-Lender Dynamics: In multi-lender consortiums or syndicates, achieving consensus during debt restructuring, stress resolution, or asset monetization can lead to prolonged negotiations and value erosion.
• Rigid Financial Covenants: Lenders impose strict financial ratio maintenance (e.g., Max DER, Min DSCR), restriction on dividend payouts, and negative pledges on asset disposal, restricting management operational maneuverability.
• Refinancing & Interest Rate Sensitivity: Heavy reliance on short-term CP or floating-rate loans exposes corporates to sudden interest rate hikes, liquidity squeezes, or market rollover risks.

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Chapter 8: Comprehensive Case Study — INR 1,200 Crore Debt Facility

8.1 Transaction Background & Corporate Profile

Borrower Entity: Bharat Heavy Infrastructure & Steel Limited (BHISL), a leading listed Indian industrial conglomerate with an annual turnover of INR 4,200 Crores and an external credit rating of AA (Stable).

Transaction Requirement: BHISL decided to construct a state-of-the-art 1.5 Million Metric Ton Per Annum (MMTPA) Integrated Speciality Steel Expansion Unit in Odisha at a total estimated project cost of INR 1,600 Crores.

Capital Structure Financing Mix: Proposed 75:25 Debt-to-Equity Ratio, comprising INR 1,200 Crores in Large Corporate Debt Facilities and INR 400 Crores in Internal Accruals & Promoter Equity Contribution.

8.2 Structured Debt Facility Composition

The INR 1,200 Crore facility was structured by a Mandated Lead Arranger (MLA) bank through a Loan Syndication framework across four participating institutions:

Lender Institution	Facility Allocated	Sanctioned Amount	Pricing & Terms
State Bank of India (Lead Arranger)	Rupee Term Loan (RTL)	INR 500 Crores	Repo + 2.10% (8.60% p.a.), 12-Yr Tenure
Punjab National Bank	Rupee Term Loan (RTL)	INR 300 Crores	Repo + 2.10% (8.60% p.a.), 12-Yr Tenure
ICICI Bank	Fund-Based Working Capital / WCDL	INR 200 Crores	3M T-Bill + 1.80% (8.30% p.a.), 1-Yr Revolving
HDFC Bank	Non-Fund Based LC / BG Facility	INR 200 Crores	0.45% Commission p.a., 3-Yr Sub-limit
Total Debt Syndicate	**Comprehensive LCF Package**	**INR 1,200 Crores**	**Weighted Avg Cost: 8.48% p.a.**

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8.3 Security, Escrow Waterfall & Financial Covenants

• Security Package: First Pari-Passu mortgage on the project land (250 acres in Odisha) and plant & machinery; first charge on project current assets; pledge of 30% promoter equity in BHISL.
• Escrow Waterfall Mechanics: All project revenues deposited into a designated Escrow Account with State Bank of India. Monthly waterfall order: (1) Statutory dues & taxes -> (2) O&M Expenses -> (3) Debt Service Reserve Account (DSRA - 2 quarters of interest & principal) -> (4) Senior Debt Servicing -> (5) Surplus to Borrower.
• Financial Covenants: Max Total Debt/EBITDA <= 3.0x; Min DSCR >= 1.35x; Min Asset Cover >= 1.33x.

8.4 Execution Outcome & Project Impact

The project was completed within 24 months, fully on schedule. In Year 3 of operations, the plant generated an additional EBITDA of INR 320 Crores, achieving a healthy DSCR of 1.72x. The structured Large Corporate Funding architecture successfully enabled BHISL to expand industrial capacity while maintaining robust liquidity and strong credit ratings.

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Chapter 9: Regulatory Framework, RBI Guidelines & IBC Integration

9.1 RBI Prudential Norms & Stressed Asset Resolution Framework

Under the Reserve Bank of India's Prudential Framework for Resolution of Stressed Assets (Prudential Framework Directions), lenders must review corporate accounts immediately upon default (Day 1). For large corporate exposures exceeding INR 1,500 Crores, lenders must implement a formal Resolution Plan (RP) within 180 days of default, requiring Intercreditor Agreement (ICA) execution by lenders representing at least 75% of credit value and 60% of lenders by number.

9.2 Insolvency and Bankruptcy Code (IBC) 2016 Integration

IBC Resolution Mechanics: When a Large Corporate Funding facility defaults and resolution fails, financial creditors can initiate Corporate Insolvency Resolution Process (CIRP) under Section 7 of the IBC 2016 before the National Company Law Tribunal (NCLT). Key provisions governing large corporate resolution include:

• Committee of Creditors (CoC): Composed exclusively of financial creditors, voting rights are allocated strictly in proportion to financial debt held.
• Resolution Plan Approval: Requires a 66% CoC voting majority to approve a resolution plan and transfer management to a successful resolution applicant.
• Liquidation Waterfall (Section 53): In liquidation, secured financial creditors holding first pari-passu charge rank highest along with worker dues, ahead of statutory government dues and unsecured lenders.

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Chapter 10: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination chapter is structured to test and solidify full comprehension of Large Corporate Funding. Completing these questions validates readiness for credit underwriting, corporate finance interviews, and banking risk assessments.

Q1: What defines a 'Large Corporate' in the Indian banking context?

A1: A Large Corporate is generally defined as an enterprise with annual turnover exceeding INR 500 Crores or aggregate banking credit facilities exceeding INR 100 Crores across fund-based and non-fund-based limits.

Q2: Under the RBI Large Exposure Framework (LEF), what is the maximum exposure limit a bank can take on a single corporate counterparty?

A2: Under the LEF, a bank's maximum exposure value to a single counterparty is capped at 20% of the bank's Tier 1 Available Capital (extendable to 25% under board-approved exceptional circumstances).

Q3: Explain the difference between Fund-Based and Non-Fund-Based credit limits with examples.

A3: Fund-Based limits involve direct outflow of bank cash to the borrower (e.g., Cash Credit, Term Loans, WCDL). Non-Fund-Based limits are contingent commitments where the bank provides credit enhancement without immediate cash outlay unless invoked (e.g., Letters of Credit, Bank Guarantees).

Q4: Why is the Legal Entity Identifier (LEI) mandatory for corporate borrowers in India?

A4: The LEI is a globally unique 20-digit code mandated by the RBI for borrowers with credit exposure of INR 5 Crores and above to track corporate cross-holdings, prevent double-leveraging, and ensure global transparent debt monitoring.

Q5: What is the key structural difference between Multiple Banking Arrangement (MBA) and Consortium Lending?

A5: In MBA, banks enter separate, independent loan agreements and hold distinct security charges. In Consortium Lending, banks execute a single joint agreement (WCCA), share security on a Pari-Passu basis, and operate under a centralized Lead Bank.

Q6: What is a Mandated Lead Arranger (MLA) in Loan Syndication?

A6: An MLA is an investment or wholesale bank that structures, underwrites, and places a large debt facility among a syndicate of participating lender banks under a unified credit agreement.

Q7: How is Debt Service Coverage Ratio (DSCR) calculated and what is the minimum benchmark?

A7: DSCR = (EBITDA - Taxes) / (Annual Interest + Principal Repayments). The standard minimum benchmark for large corporate loans is 1.25x to 1.50x.

Q8: What is a Pari-Passu charge on collateral?

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A8: A Pari-Passu charge gives multiple lenders equal rights and equal status over the secured assets in proportion to their outstanding debt amounts, without any single lender having priority over others in the same class.

Q9: Explain the role and functioning of a Trust and Retention Account (TRA) / Escrow Account.

A9: A TRA/Escrow account is a legally controlled bank account where all borrower project revenues are deposited and disbursed strictly according to a predefined payment waterfall prioritizing debt service before surplus release.

Q10: What is Commercial Paper (CP) and who can issue it in India?

A10: Commercial Paper is an unsecured short-term money market instrument (7 days to 1 year) issued by highly rated corporates (minimum credit rating A2/A1+) to raise working capital directly from institutional investors at competitive market rates.

Q11: Under Section 36(1)(iii) of the Income Tax Act 1961, what is the tax treatment of interest paid on corporate debt?

A11: Interest paid on debt borrowed for business operations is fully tax-deductible as a business expense, reducing the corporate's taxable income and effective cost of debt.

Q12: What voting majority is required by the Committee of Creditors (CoC) to approve a Resolution Plan under IBC 2016?

A12: A voting majority of 66% of financial creditors by value is required to approve a Resolution Plan under Section 30(4) of the IBC 2016.

Q13: What is a Debt Service Reserve Account (DSRA)?

A13: A DSRA is a dedicated reserve account funded by the borrower holding cash or bank guarantees equivalent to 1 to 2 quarters of principal and interest payments as liquidity protection against cash flow disruptions.

Q14: Under IBC Section 53 (Liquidation Waterfall), where do secured financial creditors rank?

A14: Secured financial creditors who relinquish their security interest rank at the top of the liquidation waterfall alongside workmen's dues for 24 months, ahead of statutory government dues and unsecured lenders.

Q15: What is the 'Specified Borrower' framework mandated by the RBI for bond market disintermediation?

A15: Under RBI rules, large corporate borrowers having aggregate banking credit limits exceeding INR 10,000 Crores are incentivized to raise a minimum of 25% of their incremental long-term debt from corporate bond markets, failing which banks face higher risk-weights for incremental exposure.

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